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APAC Market Thematics - Specialist Sales Commentary
Thematics • Macro • Strategy

JPM | APAC THEMATICS - Tech snapback: Degrossing likely done & hyperscalers show ROI / EM Strategy: Time to buy the 15% pullback / BoJ Day: No change, Yen +2.5% on suspected intervention

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APAC Thematics focuses on key macro views, market debates, and favoured investment themes.

THE BIG PICTURE: Semis snapback with SOX +8%. *The green light for the reversal came from a combination of (i) Positioning degrossing normalizing from the 2Q extremes, (ii) AI application monetization getting a boost from OpenAI saying July revs exceeded 2Q, & (iii) US hyperscalers showed their ability to monetize compute investments, MSFT +16% (Azure beat) and AMZN +8% AH (AWS beat).*

Positioning… passed the low for Momo & time to buy the dip in EM/Tech. *Following Mixo (on Korea) and Nikos (on Flows) yesterday, John Schlegel in our prime intel team is overnight saying we've passed the lows for Momo. EM strategist Rajiv Batra agrees, with a timely report out overnight arguing its time to buy the 15% pullback in MXEF - with the index now on 10x P/E (a level its historically bounced off) and -1SD.*

BOJ day… Expect no change, JPY surged 2.5% overnight. *Having hiked just last month, the BoJ will almost certainly keep rates unchanged. The focus will be on the forward path & if Ueda opens the door to a Sept hike (only 30% discounted). Overnight, the JPY surged and the Nikkei confirmed intervention. Alas, intervention moves tend to be temporary, unless the underlying issue is addressed (-ive real yields).*

From the franchise… *(i) Natasha Kaneva outlines Iran's strategy to regulate the Strait… from chokepoint to checkbook, (ii) Derek Chollet in JPM's Center for Geopolitics outlines why s301 tariffs underpinned by alleged "forced labour" accusations are likely here to stay & (iii) China economist Tingting Ge outlines key messages from China's Politburo and what to expect from the Oct Plenum.*

THE BIG PICTURE…

(1) Semis snapback… SOX +8%, & Amazon+8% AH (AWS beat & lifts capex). Overnight saw a sharp snapback in Tech (Nasdaq +3.3%, SOX +8%) and Momentum (JPMPURE +5.4%). The green light for the reversal came from a combo of (i) Positioning degrossing across Tech & Korea normalizing the 2Q extremes and moving back into "normal" territory - discussed further here (link), (ii) AI monetization getting an OpenAI boost - after the CFO said July revs exceeded 2Q aided by the release of enterprise AI agent, ChatGPT Work, & (iii) Microsoft +16% (biggest gain since 08) - showing a path forward for hyperscaler monetization after Azure beat. Snapback gains in our US baskets were led by Memory +19% and AI Bottlenecks +12%, with Semis leading Software >10%. Sentiment post-market was further lifted by Amazon +8% with AWS revs +37% y/y (vs buyside bars +35%). Positively for the AI supply chain, Amazon also lifted their 27 capex guide to $220bn (from $200bn), CEO Andy Jassy saying "AWS is booming"and they didn't have enough capacity to meet booming demand - hence the lift.

(2) Tech positioning… passing the low for Momo. 3x points from John Schlegel in our Positioning Intel on Momo (i) The combined z-score of combined HF positioning and factor performance hit -2z, (ii) HF degrossing in North America hit 3z on a 5 day basis and 2z on a 4 week basis, & (iii) Strong selling of Momentum by HFs with flows turning negative and hitting -2.2z on a 20 day basis. John also flags the unwind of Crowded trades - with Longs -6.8% vs Shorts -4.6% (a -2.2% spread) on a 20 day rolling basis. Tech was the main sector to see this, Longs -30% vs Shorts -11% (a -20%... contrasting with a +40% spread in June).

(3) EM strategy… time to buy the "not unusual" 15% dip. MSCI EM is now -15% from the June peak, driven by the rollover in Tech & Semi stocks. Strategist Rajiv Batra (link) notes EM corrections of >10% are not unusual during EM bull runs (with an average correction of 21%), and we've already seen 5x of these during the current bull-run that started in Oct 2022. With the tech-sell off already looking capitulatory, in terms of the speed of retail and HF deleveraging, we could already be close to a bottom. Rajiv additionally notes EM valuations are attractive on 10x P/E (-1 SD vs average) and at a level which has marked a rebound point since 2015. Forecast EPSg for 26/27 is also strong +65%/+24% (above US/DM). As a result, Rajiv maintains his OW stance with an unchanged MXEF target of 2000, with OWs on Tech, Financials, Energy & Materials. Themes we like (i) Oversold momo - Samsung, SK Square, Innolight & Cambricon, (ii) Quality growth - TSMC, Delta, ASE & ICICI Bank, (iii) Select laggards which have seen large drawdowns - Tencent, Kuaishou, Trip & BYD.

(4) Finally, it's BoJ day… on the back of suspected yen intervention (JPY +2.5%). Having hiked just last month, it's almost certain the BoJ will keep rates flat this week. Instead, the focus will be on the forward path - and whether Ueda opens the door to an earlier Sept (30% discounted), vs the Oct hike we currently assume (100% discounted). Today's meeting comes on the back of a sharp 2.5% rally in JPY/$ overnight, with the Nikkei reporting the BoJ and Japanese Govt stepped-in to prop up the yen, with US authorities also requesting $/Y quotes. However, we are skeptical around the efficacy of intervention - until BoJ rates are raised to a level more appropriate to the inflation reality, the JPY is unlikely to be able to sustainably rally. Japanese banks remain a buy on any dip.

Market Commentary:

***US OVERNIGHT* - S&P +1.7% and Nasdaq +2.8% as megacap tech dominates.** US equities rebounded led by tech/chip stocks, with softer core PCE (0.1% m/m vs 0.2% cons) also helping sentiment. Tech, Discretionary & Industrials led, while Comm Services, Staples & Healthcare lagged. The macro setup was supportive as oil drifted lower, yields eased with the 2y -2bp to 4.25% and 10y -1bp to 4.67%, and the VIX -17% dropped back below 20 as the post-Fed shock was partially retraced. In single stocks, mega-cap earnings tape dominated... Microsoft +16% ripped after posting their fastest cloud growth in four years (with guidance implying acceleration), Amazon +4% in cash and +8% A/H after AWS growth beat and capex guidance was raised, and Arm +7% on accelerating data-center momentum. Offsets came from Meta -8% on eye-watering forward spending commitments without a clear monetization pathway, and Apple -1% and then -6% A/H as component shortages weighed on its sales outlook. Outside of tech, Starbucks +2% beat on margins and EPS.

***US THEMATICS* - The AI infrastructure complex remains complicated (Marissa Gitler).** The rally in stocks during US hours has been largely positioning based, following a few consecutive days of massive de-grossing (-3z). On the go forward though, it's impossible to ignore rising long-term bond yields given its impact on multiples via the discount mechanism. This isn't to say that equities can't rally with higher yields, but it does add an input into the equation that wasn't previously there. The introduction of higher bond yields also adds greater capex discipline into the market. From here, we'll likely see a greater returns-visibility premium - capital expenditure without a legible path to yield is being penalised (Meta), while those who can deliver strong growth and returns (Microsoft and Amazon) are rewarded accordingly (link).

Themes & Macro:

***OIL STRATEGY* - Iran's strategy to regulate the Strait… chokepoint to checkbook (Natasha Kaneva).** Iran's approach to the SoH is often framed in binary terms - either the waterway is open or closed. But increasingly, Iran appears to be pursuing a different strategy: not closing the strait, but regulating its use. Precedence (e.g. Turkey) suggests this strategy could be legally defensible - if it's argued that vessels transiting are not paying for the right to pass… but specific services such as navigational safety, vessel traffic management, security escorts, emergency response, and environmental protection. By structuring it as a service fee rather than a transit toll, and by coordinating with Oman, Iran could propose a legal framework that appears consistent with international maritime law - with the aim of securing at least tacit support from the UN and IMO by emphasizing the charges are non-discriminatory, linked to identifiable services, & intended to enhance the environmental integrity and safety of one of the world's most strategically important waterways (link).

***GEOPOLITICS* - Like The Odessey… the US tarrrif saga is unfolding in chapters (Derek Chollet).** And alas, we are still far from the final act. Derek Chollet in JPM's Center for Geopolitics notes these chapters have been shaped by different legal authorities, which dictate what tariffs are imposed, how they are justified, and how long they can last. We started with tariffs under IEEPA, then moved to s122, and we are now in the s301 chapter. s301 tariffs are now in place ranging from 10-12.5% targeting America's top 60 trading partners over the alleged failure to impose or effectively enforce bans on import of goods made with forced labour. But these tariffs aren't really about forced labour laws… the main goal was to find a legal justification for a baseline tariff rate of 10-12.5% against America's biggest trading partners. Forced labor was simply the issue the US felt it could most easily apply to these 60 economies as part of a s301 investigation. Bottom line - think about these S301 tariffs as the floor. Even if trading partners make an effort to address the "concerns", don't expect the US to remove these tariffs anytime soon (ask for note).

***CHINA MACRO* - Policy continuity now… party discipline next (Tingting Ge).** The July Politburo assessed current economic conditions and set policy guidance for 2H26. Overall, the policy message broadly validated our call that the near-term focus will be on fiscal execution, not fiscal expansion. Policymakers acknowledged growth headwinds and signaled a willingness to provide greater counter-cyclical support… but the overarching theme remains one of policy continuity, faster implementation & selective support. Strategically, AI and industrial upgrades remain key priorities, while consumption support remains supply-centric in nature. The emphasis on services trade and balanced trade development, also shows the official response to rising global imbalance pressures. Looking to the 5-Oct Plenum, it will likely focus on "party discipline" ahead of local leadership turnover - a political reality that likely reinforces risk aversion and a slowing investment recovery (link).

Flagship Conferences:

***INDIA CONFERENCE* - 21-22 Sept, Mumbai (St Regis).** JPM will host our 11th annual India Conference - featuring a high profile line-up of panelists (government and c-suite), 100 companies, and over 1000 delegates. Keynote plenaries, panel discussions and 1x1 meetings will take place on Mon 21 and Tues 22 Sept, followed by 6x thematic tours on Wed 24 to Fri 26 Sept (register).

***TECH, INNOVATION & GROWTH (TIG)* - 16-18 Nov, Hong Kong (Grand Hyatt).** This flagship conference will bring together investors and industry leaders for two days of keynotes, panels and presentations (Nov 16–17), and 3x days of investor access meetings (Nov 16–18). We expect 300 companies and 2000 delegates to join us to discuss some of the most exciting growth opportunities in APAC (register).

APAC RETURNS **- Leaders vs laggards...**

Pan-APAC Thematics

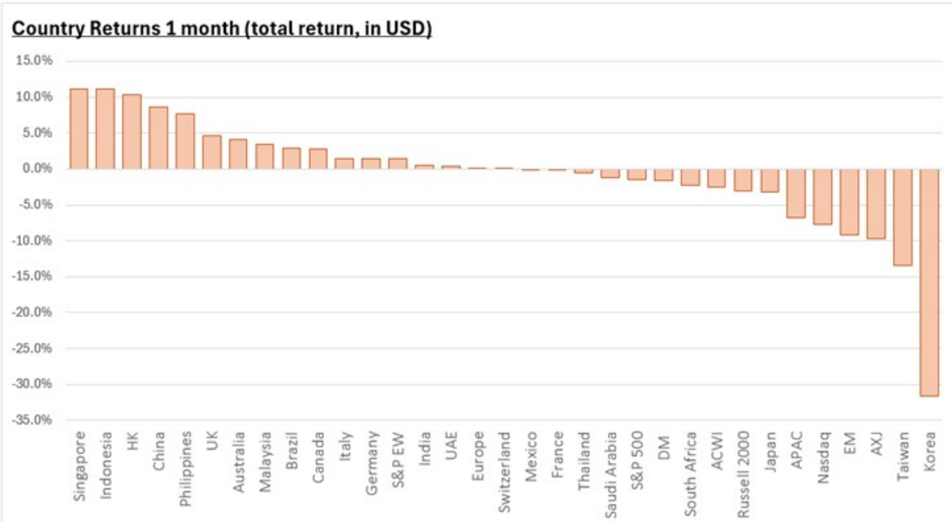
Asia Thematics (pan-APAC) - Leaders vs Laggards (1 month, % in USD)						
JPM Asia Basket	Index	1M	3M	YTD	1Y	2Y
Liquid Asia Oil Refiners	JPAAOILR Index	21%	-1%	20%	32%	25%
Asia Gold Miners	JPAAGOLD Index	16%	-14%	-20%	32%	88%
Liquid Asia Oil Producers	JPAAOILP Index	13%	-11%	25%	31%	40%
Asia Shipping	JPAASHIP Index	12%	7%	16%	8%	39%
Asia AI Vulnerables	JPAAIVUL Index	10%	10%	-5%	-14%	27%
Asia ex Japan Cyclicals	JPAJCYCL Index	10%	9%	8%	13%	48%
Asia Stablecoin Top Picks	JPASBCOT Index	9%	-9%	-16%	-16%	35%
Asia MLCC	JPAAMLCC Index	-47%	25%	86%	134%	117%
Asia Memory	JPAAMEMO Index	-45%	6%	109%	329%	316%
Asia CPO Photonics	JPAOPFIB Index	-42%	-27%	67%	197%	451%
Asia Semiconductors	JPAASEMI Index	-36%	-4%	55%	138%	181%
Asia AI Supply Chain	JPAAGTCB Index	-35%	-6%	63%	150%	212%
Asia Tech Top Picks	JPATECTP Index	-35%	-16%	37%	79%	126%
Asia AI Hardware	JPAIHARD Index	-35%	-11%	43%	89%	117%

Source: Bloomberg.

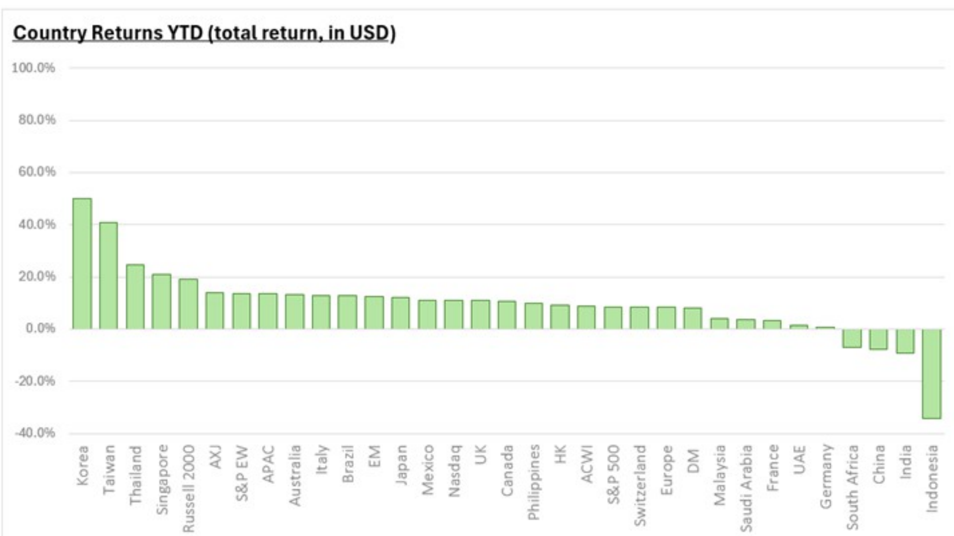
Country-Specific Thematics

Asia Thematics (country-specific) - Leaders vs Laggards (1 month, % in USD)						
JPM Asia Basket	Index	1M	3M	YTD	1Y	2Y
China Gold	JPCHGOLD Index	30%	-14%	-12%	32%	140%
Japan Value L/S (i)	JPPQJVAS Index	30%	25%	4%	10%	13%
Japan Yield L/S (i)	JPPQJDYS Index	28%	19%	-2%	-8%	-11%
Japan Gaming	JPJBGAME Index	25%	14%	-4%	-14%	28%
China Education	JPCHEDUC Index	23%	-8%	-9%	-10%	1%
Japan IT Services	JPJBITSV Index	22%	18%	-3%	-8%	27%
China Consumers (i)	JPCHCD Index	20%	-5%	-12%	-16%	31%
China CPO & Photonics	JPCACPOP Index	-47%	-24%	24%	107%	279%
Korea Semis ex Samsung ex Hynix	JPKBSEMX Index	-42%	-44%	10%	44%	47%
China A Broader 5G Beneficiaries	JPCA5GBE Index	-41%	-12%	31%	138%	274%
Korea Semis	JPKBSEMI Index	-40%	-33%	30%	115%	148%
China A Printed Circuit Boards	JPCAPCBE Index	-40%	-7%	29%	83%	308%
China A Quantum Computing (Q)	JPCAQCOM Index	-39%	-20%	8%	50%	170%
China Nuclear Fusion	JPCHNFUS Index	-36%	-20%	-15%	18%	70%

Source: Bloomberg.



Source: Bloomberg.



Source: Bloomberg.

Best, Matt

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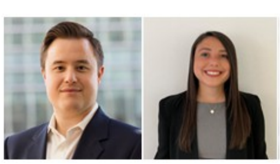

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